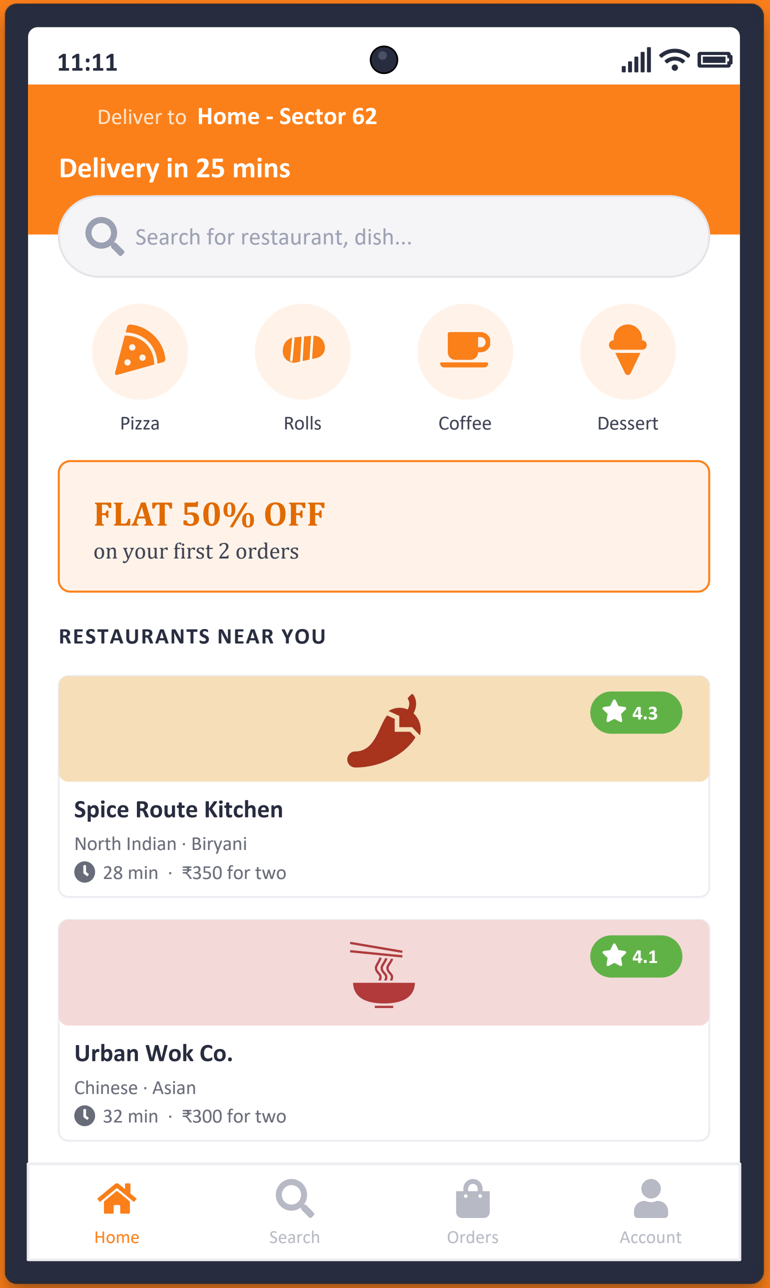
Swiggy

A SYSTEMS THINKING ANALYSIS

Swiggy Retention Case Study

A systems-thinking diagnosis of the first-order-to-second-order retention leak — and what leadership should chase instead of order volume.



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What We'll Cover

Six moves from raw complaint data to a prioritized product decision.

01 **System Map**

Elements, relationships, and the purpose the system actually serves

02 **Feedback Loops**

Which loops are reinforcing the leak, and which balancing loops to design in

03 **The Real North Star**

Why "orders per day" hides the problem — and what to track instead

04 **Leading vs. Lagging Indicators**

What predicts the outcome vs. what merely confirms it happened

05 **Strategy Cascade**

From company vision down to the features worth building

06 **Outcome Mapping**

One prioritized opportunity, with assumptions made explicit

Mapping the Retention System

This isn't a funnel with a leak at the bottom — it's a system where acquisition, fulfillment, and measurement feed back into each other.

Acquisition Engine

How new customers come in

- New / first-time users
- Discounts & referral bonuses
- Growth team (owns "orders/day")

Fulfillment Layer

What happens after they order

- Restaurant onboarding
- Delivery & logistics
- Customer support

Measurement & Incentives

How success is tracked and rewarded

- Orders/day KPI (sole focus)
- Team metrics set in silos
- Revenue per user — declining

PURPOSE OF THE SYSTEM

Stated: Maximize orders placed per day.

Needed: **Convert first-time trial into durable, profitable ordering habits.**

Two Loops Are Reinforcing the Leak

Reinforcing loops (R) amplify the current trend unchecked. Balancing loops (B) don't yet exist — they need to be designed in.

Discount Dependency Spiral

R1
self-feeding cycle

1. Heavy discounting attracts price-sensitive users
2. They form no intrinsic loyalty to the app
3. They reorder only when a promo reappears (65% today)
4. Margin pressure forces more discounting to hit order targets

Silent Churn from Bad Delivery

R2
self-feeding cycle

1. Onboarding races ahead of delivery capacity/quality
2. CX tickets on delivery rise (+18% QoQ)
3. Genuine, non-discount users churn quietly
4. Remaining active base skews more price-sensitive, worsening the ratio

BALANCING LOOPS TO DESIGN IN

- B1 **Cohort-level CAC/LTV gate on discount spend**
- B2 **Shared metric linking onboarding quality to CX outcomes**
- B3 **Real-time restaurant delivery scorecards feeding back into onboarding**

“Orders/Day” Is a Vanity Metric in Disguise

WHY IT FAILS

- Rewards raw volume — discounting inflates it without effort
- Doesn't separate organic demand from promo-driven demand
- Blind to unit economics — it rises while revenue per user falls
- No shared ownership — Growth alone controls it; CX and onboarding are untouched by it

PROPOSED NORTH STAR METRIC

Non-Discount Ordering Rate

In plain terms: how many customers keep coming back on their own — not because of a coupon.

Technical definition: % of Monthly Active Users placing 3+ non-discounted orders within a rolling 90-day window

- Ties directly to retention, not one-time acquisition
- Structurally reduces discount dependency by design
- Cross-functional by nature — restaurants, delivery, and CX all have to work

WATCH-OUT This can rise just by cutting discount volume, without real demand growth. Pair it with discount-dependency % so a drop in couponing isn't mistaken for earned retention.

Leading Predicts. Lagging Confirms.

Leadership dashboards today are almost entirely lagging. Fixing the leak means acting on leading signals earlier in the cycle.

Leading Indicators

Early warning signs you can act on now

Time-to-second-order (days)

Core predictor — how fast trial turns into habit

% of 2nd orders placed without a promo code

Signals organic, non-discount intent forming early

On-time delivery rate

Predicts whether the experience earns a repeat visit

CX ticket rate per 1,000 orders

Early warning before churn shows up in the numbers

Lagging Indicators

The final scorecard, after the fact

30-day repeat purchase rate

Confirms whether retention actually happened

Revenue per user

Confirms whether growth is actually profitable

Discount dependency %

Confirms how much of "retention" is rented, not earned

CX ticket volume, QoQ

Confirms the scale of the delivery-experience problem

From Vision to Feature: The Strategy Cascade

VISION
the big-picture destination

Become India's most convenient, trusted everyday-commerce platform.

BUSINESS GOAL
how the company gets there

Profitable, sustainable growth in food delivery — driven by habit, not discount volume.

PRODUCT OBJECTIVE
what the product team must deliver

Increase organic (non-discount) retention and customer lifetime value.

OUTCOMES TO CHASE
proof it's actually working

Shrink time-to-second-order · Raise delivery reliability · Unify onboarding & CX standards

FEATURES / INITIATIVES
the things we'd actually build

Non-monetary re-engagement nudges · SLA-linked restaurant scorecards · Post-first-order CX check-ins · Quality-weighted restaurant ranking

Outcome Mapping: Time-to-Second-Order

OPPORTUNITY 40% of new users don't reorder within 30 days

OUTCOME **Increase the % of first-time users placing a 2nd order within 14 days, without a promo code**

ASSUMPTIONS BEHIND THIS OPPORTUNITY

A1 Delivery experience quality — not price — is the primary reorder driver for many first-time users.

A2 Personalized, non-monetary nudges (curated picks, timely reminders) can motivate reorder as effectively as a discount for a meaningful segment. **UNTESTED — KEY RISK**

A3 Distinct segments exist within the 40% — some simply forgot or had one bad delivery; others are habitual deal-seekers who won't respond to nudges at all.

PRIORITIZATION (ICE)

In plain terms: who does it reach, how much would it move the needle, how sure are we, how hard is it to build

Reach	Impact	Confidence	Effort
High	**High**	**Medium**	**Medium**
~40% of all new users	Moves the NSM directly	Capped by A2 — unproven until tested	Segmentation + nudge logic, no discount rebuild

What This Means for Product Leadership

Replace the shared metric

Retire “orders/day” as the cross-team KPI. Adopt Non-Discount Ordering Rate across Growth, CX, and Onboarding jointly.

Gate discount spend on evidence

Fund a controlled test of non-discount re-engagement nudges before scaling any new promo campaign.

Tie onboarding to delivery outcomes

Score restaurant onboarding on delivery reliability and CX impact — not sign-up count alone.

Put leading indicators on the dashboard

Track time-to-second-order and on-time delivery % weekly, not just lagging revenue at quarter-end.

Fix the loop before you fund the funnel.